

¹ An ETF is a basket of stocks that reflects the composition of an Index, like S&P, CNX Nifty or BSE Sensex. The trading value of ETFs is based on the net asset value of the underlying stocks that it represents. One may think of it as a mutual fund that you can buy and sell in real time at a price that changes through the day. ETFs are explained in detail in Chapter 3. (Source: moneycontrol).